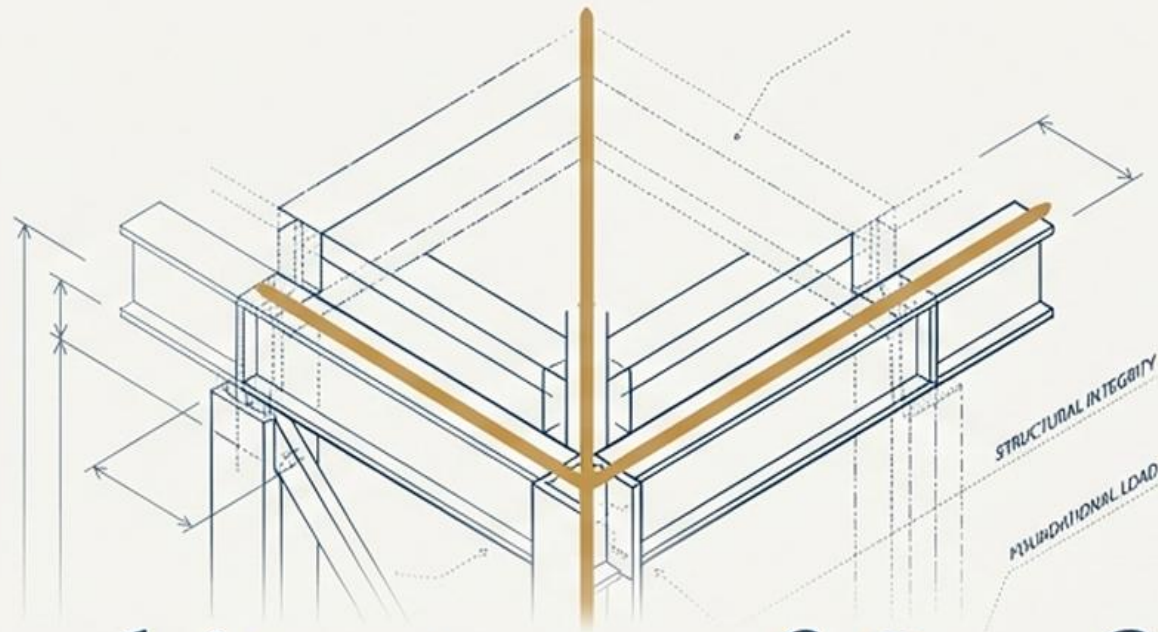
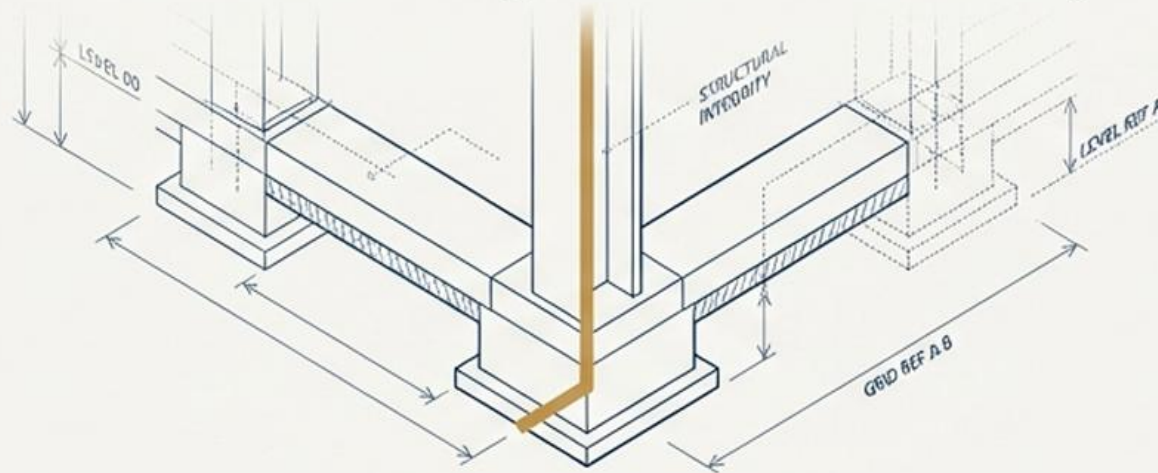




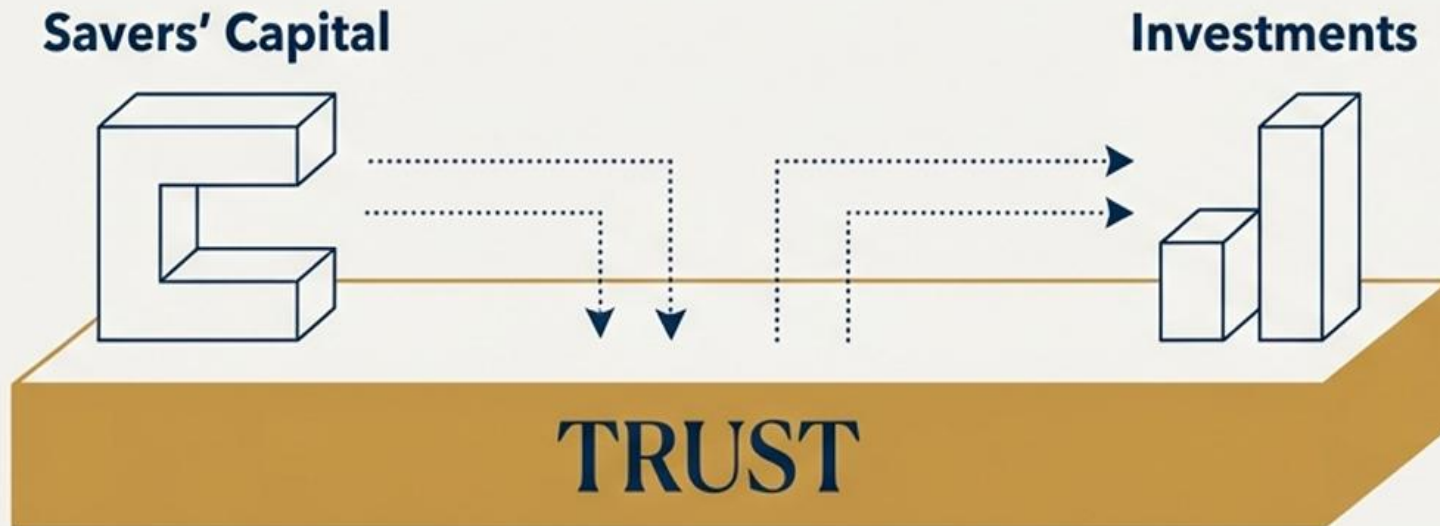
The Architecture of Confidence

How a Well-Functioning Investment Industry is Built



The Foundation: It All Begins with Trust

In a well-functioning investment industry, investors are treated fairly and honestly. As a result, they have the confidence to commit their savings to investments.



A successful industry is an ecosystem where savers confidently deploy capital because they believe they will be treated fairly.

This trust extends to all participants: borrowers, advisors, investment managers, and service providers.

Without this foundational trust, the entire system falters.

Constructing Confidence: The Three Pillars of Integrity

Trust isn't an accident; it's engineered through a robust framework. This framework rests on three essential pillars that provide structure, enforce fairness, and guide behavior.





Pillar 1: Laws

The Official Rulebook

What they are

The fundamental rules governing the industry.

Who creates them

Legislative bodies, such as the US Congress or the UK Parliament.

The core function

To provide a clear, legally-binding framework that must be followed by all participants. They are the blueprint for market conduct.



Pillar 2: Regulations

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Implementing the Rules

What they are

The specific rules and procedures issued by regulatory agencies to implement the broader laws.

Who creates them

Regulatory bodies like the CSA (Canadian Securities Administrators), AMF (Autorité des marchés financiers), or SFC (Securities and Futures Commission).

The key objectives of effective regulation

- ✓ Prevent fraud
- ✓ Protect investors and market participants
- ✓ Promote market integrity, fairness, and transparency

The Framework in Action: Prohibiting Insider Trading



Definition:

Trading on non-public, price-sensitive information is illegal in most jurisdictions.

Example:

An analyst learns of a confidential merger. They are legally and ethically barred from trading on that information until it is made public.



Why it matters:

Permitting insider trading fundamentally undermines market fairness and integrity. It destroys investor trust by creating an unlevel playing field.

Consequences:

Violators face severe legal and regulatory penalties.

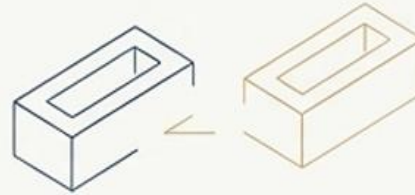


Pillar 3: Ethics

The Mortar of Integrity

The Limitation of Rules

Laws and regulations cannot cover every possible situation or prevent all forms of market abuse. Loopholes can exist.



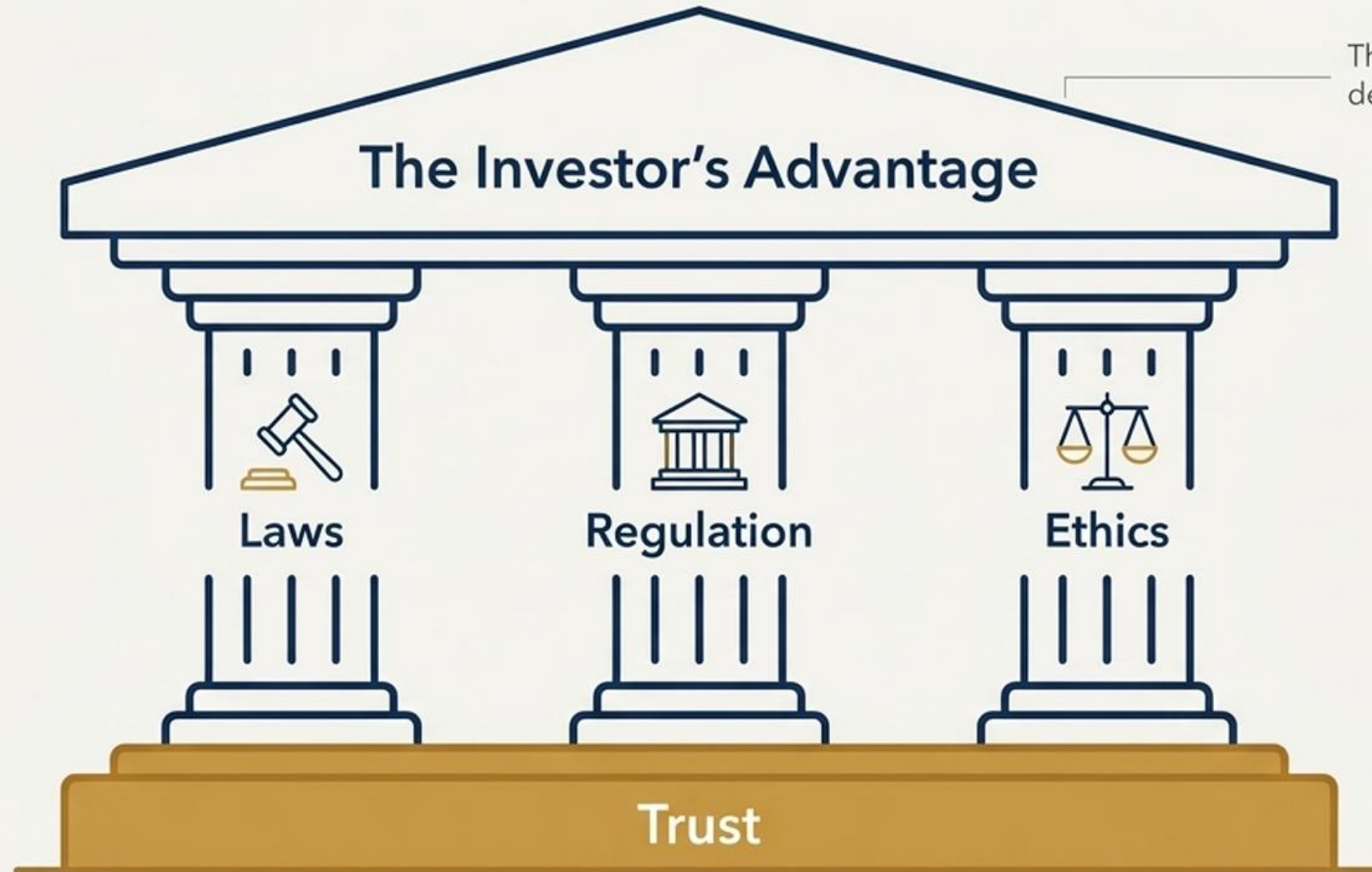
The Role of Ethics

Ethical conduct requires industry participants to act with professionalism and integrity, going beyond mere compliance with the rules.

The Impact

Strong ethical cultures protect the industry's reputation and maintain the very trust on which it is built. A lapse in ethics erodes the foundation, causing savers to invest less and harming the broader economy.

The Result: An Architecture That Delivers for Investors



The following slides will detail these benefits.

The Advantage I: Unparalleled Opportunity and Access

The industry provides investors with a vast landscape of options and the professional services needed to navigate it.



Wide Range of Investment Opportunities

Access to diverse options like debt securities, equity, derivatives, and alternatives. Includes pooled vehicles like mutual funds and ETFs.



Broad Range of Investment Services

Professional support including financial planning, portfolio management, information and research, and trading execution.

The Advantage II: Efficient and Fair Markets

The competitive and regulated environment ensures markets operate smoothly and at a low cost, directly benefiting investor returns.



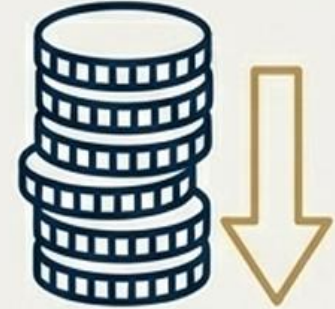
Competitive Markets

Competition ensures fair prices, where no single participant can unfairly influence supply or demand. This drives innovation and lower costs.



Liquidity

The ability to buy or sell assets quickly without significantly affecting their price.



Low Transaction Costs

Reducing the cost of trading directly increases an investor's net returns.

The Advantage III: Clarity and Security

Investors are empowered with the information to make sound decisions and the tools to protect their capital.



Reliable and Timely Information

Access to accurate data about companies, governments, and markets is crucial, as security prices react quickly to new information.



Effective Risk Management

The industry provides tools to assess risk, risk, understand risk-return trade-offs, and utilize products and strategies to mitigate investment risks.

Guardians of the Architecture

The diverse opportunities and sophisticated services that investors enjoy are not a given. They are the direct result of a deliberately constructed architecture of confidence.

This system is built on trust, supported by laws and regulations, and bound together by the ethical commitment of its professionals. Maintaining and strengthening this structure is the core responsibility of everyone in the industry.